

the ensuing nine years the company operated at a deficit before interest charges, and the bonds sold as low as 20 cents on the dollar.

3. McCrory Stores Corp., which sold an issue of Debenture 5¹/₂s at 98 in 1926, covered all its 1931 fixed charges an average of 5.32 times in the decade 1922–1931. Earnings declined sharply thereafter, and the company failed to earn its charges. In 1933 the company was petitioned into bankruptcy, and the bonds sold as low as 21⁵/₈.

All three of these issues, however, recovered all or most of their price decline in subsequent years.

NOTE 13

*PRICE PERFORMANCE OF INDUSTRIAL BONDS IN 1937–1938,
AS RELATED TO EARNINGS FOR A PERIOD OF YEARS
ENDED IN 1936*

This study is similar to the one described in Appendix Note 11, with the following modifications: All the industrial bonds listed on the New York Stock Exchange were examined with respect to *average* earnings coverage for as many years as possible through 1936 (not more than 10). In Group A were placed all the companies (27 in number) that showed a coverage of better than three times interest charges. In Group B were placed the 37 companies that covered charges less than 2¹/₂ times.

Average results for the two groups were as follows:

Item	Number of issues	Median ¹ interest coverage	Coupon rate	Price range 1937–1938	
				High	Low
Group A	27	4.00 times	4.07%	107 ¹ / ₂	97 ¹ / ₂
Group B	37	1.45 times	5.00%	95	70

¹ Median figure used, since average would be nonrepresentative.

Only eight issues in Group A lost more than 10% of their maximum market price, and only nine issues in Group B failed to suffer this percentage decline. Of these eight bonds in Group A, all but two (Gotham Silk Hosiery 5s and Jones & Laughlin 4¹/₄s) later recovered to within four points of the 1937 high. Of the nine bonds in Group B that maintained their price, all but two (Houston Oil 5¹/₂s and